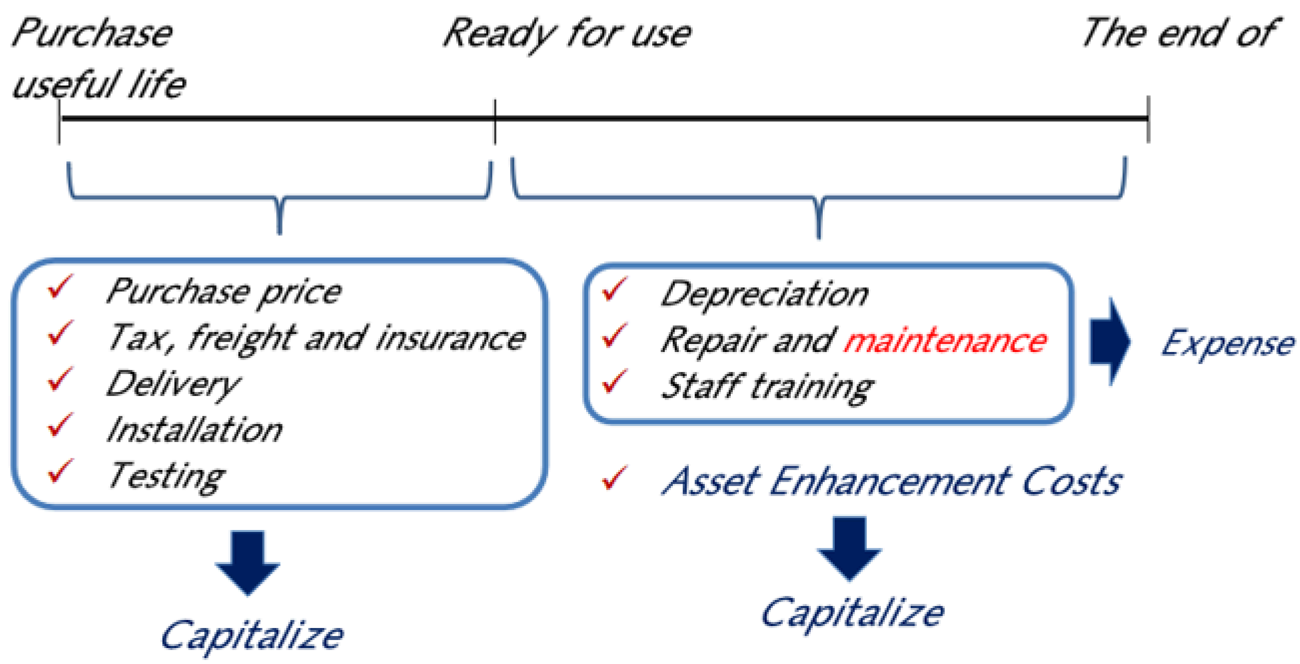
6. ANALYSIS OF LONG-TERM ASSETS

Intangible Assets



from **internal intangible assets**: Research costs cannot be capitalized. However, development costs may be capitalized under IFRS.
In GAAP both are expensed but software can be capitalized in development stage

The cost of a finite-lived intangible asset is amortized over its useful life. Indefinite-lived intangible assets are not amortized, but they are tested for impairment at least annually. If impaired, the reduction in value is recognized in the income statement as a loss in the period in which the impairment is recognized.

Capitalize = higher cash flow from operating activities

Impairment and Derecognition

An impairment loss essentially indicates that the firm has not recognized sufficient depreciation or amortization expense, and has overstated earnings as a result.

The carrying amount of the asset on the balance sheet is reduced by the amount of the impairment loss, and the impairment loss is reported on the **income statement**.

If the impairment loss is material in size and nature, it will be shown as an unusual or infrequent item.

The impairment loss is a non-cash charge and will not affect cash flow from operations (already added back when calculated from Net income).

Cost Model:

	IFRS	US.GAAP (two steps)
Impairment Test	*carrying value of assets > recoverable amount* **recoverable amount 选取 the **higher** of* *NRV(selling price−selling cost)* *value in use (pv of future cash flows) 题目会直接给哦*	*① impairment test:* *carrying value of assets >* ***undiscounted*** *future cash flow generated by assets* *② loss measurement:* *carrying value of assets − fair market value or PV of future CF*

IFRS: Net carrying amount - max(NRV, Value in use)
USGAAP: Net carrying amount - market value or Value in use

carrying value (original ending cost - accumulated depreciation)
NRV can be fair value - selling cost

Under US GAAP: No revaluation Allowed
IFRS: allow revaluation

Eventually, long-term assets are **removed from the balance sheet**. Derecognition occurs when assets are sold, exchanged, or abandoned - Gain or loss in income statement or infrequent item if material.

A spinoff is the transfer of assets that constitute an entire division or subsidiary into a new legal entity, upon which the shares of the spinnee are subsequently distributed to its shareholders, and the shareholders do not surrender any stock of the spinnor.

Cost Model vs. Fair Value Model vs. Revaluation Model

Aspect	**Cost Model (USGAAP, IFRS)**	**Fair Value Model (IFRS)**	**Revaluation Model (IFRS)**
Valuation Basis	Original purchase price	Current market value	Revalued fair value
Depreciation?	✅ Yes (based on cost)	❌ No (for investment property)	✅ Yes (based on new value)

Aspect	Cost Model (USGAAP, IFRS)	Fair Value Model (IFRS)	Revaluation Model (IFRS)
Upward Revaluation Allowed?	❌ No	✅ Yes if MV > carrying value	✅ Yes (Revaluation Surplus)
Downward Revaluation?	✅ Impairment required	✅ Fair value loss if MV < carrying value	✅ First reduces Revaluation Surplus, then Net Income (other income)
Where Gains Go?	❌ Not recognized	✅ Net Income	✅ Equity (revaluation surplus)
Used For?	PPE, Intangibles, Inventory	Investment Property, Financial Assets	**PPE (IFRS Only)**

Fair Value Adjustments are reported under "Other Income/Expenses" in the income statement.

- **They do not affect revenue, but they change the total Net Income.**

Long lived assets

StefoJo, PLC, is acquiring a controlling interest in Dykes Limited. Dykes has internally developed intangibles that have previously been expensed. Which of the following comments is most accurate?

A. StefoJo should capitalize any identifiable internally generated intangibles.
B. Goodwill generated resulting from Dykes' reputation and customer loyalty should be capitalized.
C. Capitalizing intangible assets Dykes had previously expensed will increase the goodwill recorded at the acquisition date

ans: A

Any identiiable internally generated intangible assets that the targeted company had previously expensed must be included in the balance sheet assets acquired. Internally generated goodwill is not an identiiable intangible asset and would not be included in the fair market value of assets acquired. The capitalization of previously unrecognized identiiable intangibles will increase the fair market value of assets acquired and reduce the amount of the purchase price allocated to goodwill.

Impairment and derocgonition

In the year after an impairment charge on a finite-lived identifiable intangible asset, compared to not taking the charge, net income is most likely to be:
A. lower.
B. higher.
C. unaffected

ans: B

Other things equal, which of the following actions related to property, plant, and equipment will most likely increase a firm’s return on assets (ROA) in future periods?
A. Impairment.
B. Derecognition.
C. Upward revaluation.

ans: A
An upward revaluation will increase the book value of assets and increase depreciation expense in future periods (decreasing net income), both of which reduce ROA. Impairment would have the opposite effects, reducing the carrying value of assets and decreasing future depreciation. Derecognizing an asset may increase, decrease, or not affect ROA in future periods.
